

Consumer Credit Policy

Underwriting, pricing, delinquency management and loan modification for personal, auto and mortgage loans

Document	HCB-CRE-001	Version	5.1
Effective	1 July 2026	Owner	Chief Credit Officer
Approved	Board Credit Committee, 18 June 2026	Classification	Internal use

1. Purpose and scope

This policy sets the standards under which Harborview Community Bank ("the Bank") originates, prices, monitors and collects consumer loans. It applies to every personal loan, auto loan and residential mortgage made to an individual through any of the Bank's 18 branches, the online application channel or the loan servicing center. Small business lending, commercial real estate and credit cards are governed by separate policies.

The policy has three goals: lend only to borrowers who can repay from their income, price each loan for the risk it carries, and give borrowers who are in temporary hardship a documented way back to a current loan before the Bank has to charge it off.

2. Governance and approval authority

The Board Credit Committee approves this policy once a year and whenever a limit in section 3 changes. The Chief Credit Officer owns the policy and reports exceptions, delinquency and charge-offs to the Credit Risk Committee every quarter.

Credit decisions are made within the authority shown in Table 1. Authority is set by the total of the loan being approved plus all other credit the borrower already has with the Bank. A lender may never approve a loan for a relative, an employee reporting to the lender or a business the lender owns.

Table 1. Lending authority by approver

Approver	Personal loans (unsecured)	Auto loans	Mortgages
Branch lender	Up to \$15,000	Up to \$40,000	Not authorized
Regional credit officer	Up to \$35,000	Up to \$75,000	Up to \$400,000
Credit Committee	\$35,001 to \$50,000	Not applicable	\$400,001 to \$750,000

3. Underwriting standards

3.1 Products and limits

Table 2. Product limits

Product	Amount	Maximum term	Collateral
Personal loan	\$2,500 to \$50,000	60 months	Unsecured
Auto loan	\$8,000 to \$75,000	72 months	First lien on the vehicle
Mortgage	\$90,000 to \$750,000	360 months	First lien on an owner-occupied principal residence

3.2 Credit score bands, debt-to-income and loan-to-value limits

Every applicant is placed in a credit band using the middle of the three bureau scores, or the single score when only one is available. The band sets the maximum debt-to-income ratio (DTI) and the maximum loan-to-value ratio (LTV) the Bank will accept. Table 3 shows the limits that apply to applications taken on or after 1 July 2026.

Table 3. Underwriting limits by credit band (version 5.1, effective 1 July 2026)

Credit band	Credit score	Maximum DTI	Maximum auto LTV	Maximum mortgage LTV	Pricing tier
Exceptional	780 and above	45%	120%	97%	A
Very Good	720 to 779	43%	115%	95%	B
Good	670 to 719	40%	110%	90%	C
Fair	620 to 669	36%	100%	85%	D
Poor	619 and below	30%	90%	80%	E

Debt-to-income is the borrower's total monthly debt payments, including the payment on the proposed loan, divided by gross monthly income. The maximum DTI in Table 3 applies to all three products. Loan-to-value is the loan amount divided by the lesser of the purchase price and the appraised value (mortgage) or the retail value in the Bank's valuation guide (auto). A personal loan has no LTV limit. DTI and the credit band are recorded once, at origination, and are not refreshed during the life of the loan.

3.3 Income and identity verification

Income must be verified before approval with the two most recent pay stubs, the last two years of tax returns for self-employed borrowers, or benefit award letters for retirees. Identity is verified under the Bank's Customer Identification Program described in the KYC and AML procedure. A loan may not fund until both are complete.

3.4 Exceptions

A loan above the maximum DTI or LTV in Table 3 may be approved only by the regional credit officer, and only when at least two compensating factors are documented: twelve months of liquid reserves, a customer relationship of five years or more, a co-borrower with a credit score in a higher band, or a down payment of at least 20 percent. Approved exceptions may not exceed 5 percent of originations by count in any quarter. Every exception is reported to the Credit Risk Committee with the borrower's band, the ratio approved and the factors relied on.

4. Pricing

Rates follow a five-tier risk-based pricing grid that maps one-to-one to the credit bands: Tier A for Exceptional through Tier E for Poor. The Asset and Liability Committee reviews the grid each month and publishes it to branch lenders. A lender may not discount a rate by more than 25 basis points without regional credit officer approval, and no loan may be priced to a customer on the basis of a protected characteristic.

5. Delinquency management and charge-off

Collections activity starts the day after a payment is missed and escalates as the loan ages. Table 4 summarizes the required actions. Days past due are counted from the due date of the oldest unpaid installment.

Table 4. Collections actions by days past due

Days past due	Status	Required action
1 to 14	Grace period	Automated reminder by text message or email
15 to 29	Early delinquency	Late fee assessed; collector calls within 5 business days
30 to 59	Delinquent	Written notice; hardship screening offered; reported to the credit bureaus as 30 days late
60 to 89	Seriously delinquent	Collections case opened; hardship review; modification considered
90 or more	Default	Placed on non-accrual; referred to Special Assets for a recovery plan

A personal or auto loan is charged off when it reaches 120 days past due. A mortgage is evaluated for charge-down at 180 days past due, to the appraised value less the cost to sell. Recoveries after charge-off are credited to the allowance for loan losses. A loan on a hardship plan that is being followed is not charged off while the plan lasts.

The Bank defines default for reporting purposes as 90 or more days past due, and delinquency as 30 or more days past due. Delinquency rates are reported as the number of active loans with at least one installment unpaid for 30 or more days divided by the number of active loans at the reporting date. Charged-off loans are excluded.

6. Hardship and loan modification

6.1 Eligibility

A borrower may request a modification when a documented hardship (job loss, reduction in work hours, serious illness, the death of a co-borrower or a declared disaster) makes the contractual payment unaffordable. To be eligible the borrower must have made at least three payments on the loan, must not be more than 119 days past due on a personal or auto loan, and must not be in bankruptcy.

6.2 How to ask

The request must be made in writing on Form LS-114, Request for Loan Modification, signed and dated by every borrower, with documentation of the hardship attached. Branch staff scan the signed form and send it to Loan Servicing, which logs the received date. A verbal request starts the hardship screening in Table 4 but is not a modification request until the signed form arrives.

6.3 What the Bank can offer

The modification options are limited to the following. The Bank does not reduce the interest rate or forgive principal.

- **Temporary payment reduction.** The monthly payment may be reduced by up to 50 percent for no more than 6 months. Payments that are not collected are added back to the loan balance and the payment is re-amortized when the plan ends.
- **Term extension.** The maturity date may be extended by up to 12 months, once in the life of the loan.
- **Late fee waiver.** Late fees assessed in the 60 days before the request are waived on approval.

6.4 Decision and follow-up

Loan Servicing decides within 10 business days of receiving a complete request and tells the borrower in writing. If the request is denied the letter states the reason and the borrower's other options. An approved plan is documented in the servicing system, and a plan that is missed twice is closed and the loan returns to normal collections.

7. Monitoring and reporting

Each quarter the Credit Risk team reports to the Credit Risk Committee on delinquency by product, the allowance for loan losses, charge-offs and recoveries, exceptions granted, and the share of recent originations that exceed the limits currently in force. Loans originated before a change in this policy are not re-underwritten, but the quarterly report identifies originations from the previous 12 months that would no longer meet the new maximum DTI so that the Committee can decide whether portfolio action is needed.

8. Revision history

Version 5.1 lowered the maximum DTI for every credit band by between 2 and 6 percentage points. Table 5 compares the new limits with those of version 5.0, which applied to applications taken from 1 July 2025 through 30 June 2026.

Table 5. Maximum DTI, version 5.1 against the version 5.0 limits it replaced

Credit band	Maximum DTI, version 5.0	Maximum DTI, version 5.1 (current)	Change
Exceptional	48%	45%	-3 points
Very Good	45%	43%	-2 points
Good	43%	40%	-3 points
Fair	40%	36%	-4 points
Poor	36%	30%	-6 points

Table 6. Policy versions

Version	Effective	Summary of change
4.8	1 January 2024	Annual review; no limit changes
5.0	1 July 2025	Added the hardship and loan modification section; raised the Exceptional-band mortgage LTV
5.1	1 July 2026	Lowered maximum DTI in every band (Table 5); added the monitoring of recent originations in section 7